

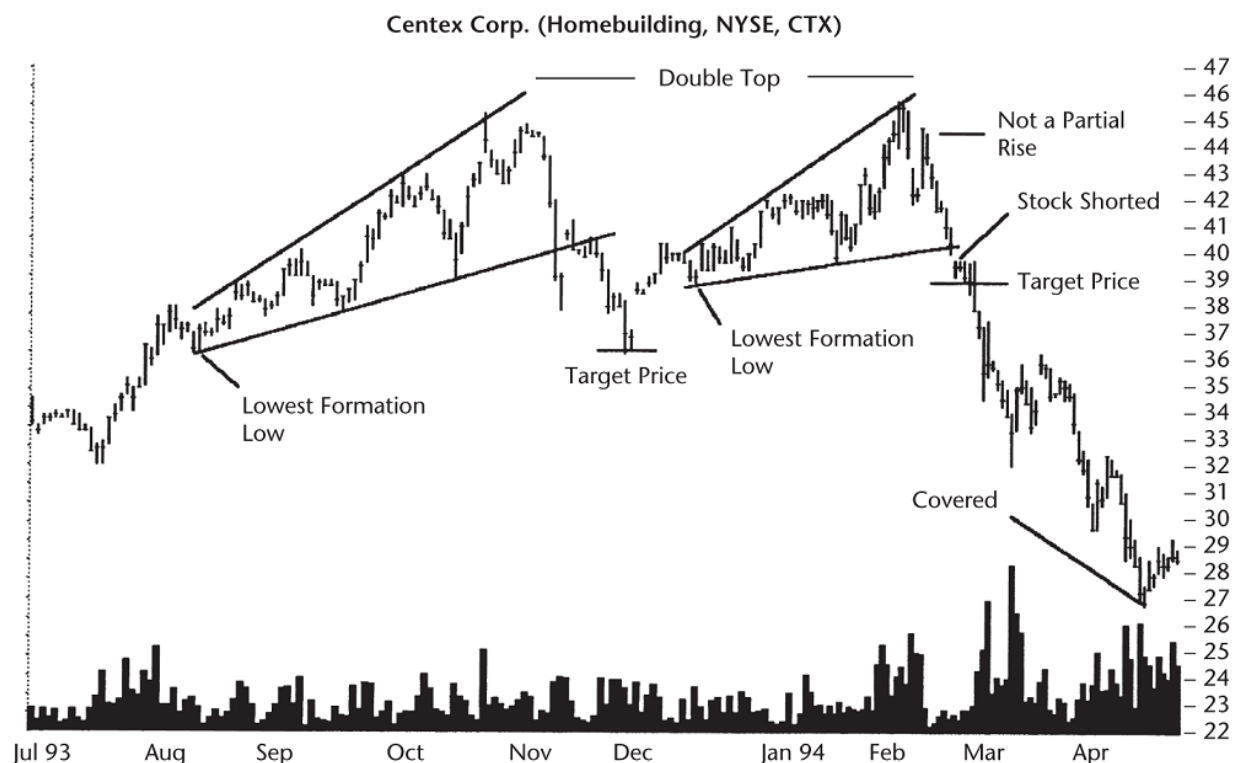


Figure 12.6 The measure rule as it applies to two ascending broadening wedges. Astute investors will recognize the twin peaks as a large double top.

The day after the stock closed below the lower trendline of the right broadening pattern, he sold short and received a fill at 39.50.

“I used the double top measure rule to estimate my price target.” With a top at 45.75 and a valley low of 36.25, the target was 26.75 (that is 45.75 – 36.25 subtracted from 36.25).

“I placed an order to cover my short at 27.13, because you always want to have protection. I put it just above the whole number and just above where everyone else was likely to place theirs. Let them get cashed out first, before me.”

He went to bed.

Each day, before he closed the curtains to get some sleep, he checked the stock. To him, it was pleasing to see the stock begin moving down immediately and sailing below the nearest broadening wedge target (38.88).